

Merchant / Restaurant Financial Flow – End-to-End Overview

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Organization: Crave'n Inc.

Prepared for: CFO & Finance Leadership; Chief Partnership Officer (Jason Parcell)

Scope: Merchant pricing strategy (vs competitors), Stripe-only money movement, order economics, payouts, reconciliation.

Canonical file path (repo): [docs/MERCHANT_RESTAURANT_FINANCIAL_FLOW.md](#)

Payments and banking: Stripe only — customer charges (e.g. PaymentIntents) and restaurant payouts (**Stripe Connect**). No Moov or other merchant banking rail for this flow.

Related: Driver pay from delivery fees — [DRIVER_PAY_SYSTEM_REDESIGN.md](#) (70% of delivery fees default, \$2.50 base floor, 100% tips, 0% food subtotal).

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1. Overview

This document defines:

- **Commercial policy:** Crave'n's **15% commission cap**, **10%–15%** merchant bands, **0%** pickup and **0%** first-party web commission (processing only), and positioning vs **DoorDash-style** high tiers.
 - **Operations:** How money flows on a delivery marketplace order, how **delivery fees** divide between **driver** and **platform**, and how restaurants are paid through **Stripe Connect**.
 - **Controls:** Refunds/disputes in **Stripe**, and Finance reconciliation.
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2. Merchant commission strategy (Crave'n vs DoorDash)

Purpose. Explain Crave'n's merchant pricing and how it **competes with** the **DoorDash** merchant model while holding a firm **15% commission cap**. Goal: **more profit for restaurants**, **transparency**, and **fair structure**, with a sustainable marketplace.

2.1 DoorDash merchant model (reference)

DoorDash commonly uses **tiered commissions** so restaurants pay more for visibility, customers, and radius.

Plan (illustrative)	Commission	Positioning
Basic	15%	Standard listing, smaller radius, basic support
Plus	25%	Expanded radius, DashPass, better discovery
Premier	30%	Top visibility, priority search, promos, perks (e.g. photo credit)

Other fees (illustrative):

- **Pickup:** ~6% commission.
- **Online ordering (storefront):** 0% commission; ~2.9% + \$0.30 processing.
- **Hardware:** Tablet rental roughly ~\$6/week after trial.
- **Drive / API:** Per-order delivery fee by distance.

Takeaway: Restaurants often pay **higher commission** to **compete** for reach and placement.

2.2 Crave’n counter

- **No** DoorDash-style **25%–30%** commission tiers.
- **Maximum merchant commission: 15%.** No merchant pays **more than 15%** platform commission on covered delivery marketplace orders under this policy.
- **10%–15%** standard range; benefits scale **inside** that band—not by jumping above 15%.

2.3 Crave’n bands (within the cap)

Rate	What the merchant gets
10%	Full marketplace access, standard discovery, normal delivery radius, dashboard and analytics.
12%	Enhanced discovery, stronger category exposure, more placement opportunity.
15% (ceiling)	Featured opportunities, promotional banner eligibility, top category placement opportunities.

Distinction: Merchants are **not** forced to **25%–30%** to compete. **Top Crave’n rate = 15%.**

2.4 Pickup

	DoorDash (reference)	Crave’n
Platform commission	~6%	0%
Merchant pays	Commission + processing	Stripe / standard processing only

2.5 Online ordering (merchant website / first-party)

	DoorDash (reference)	Crave’n
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	DoorDash (reference)	Crave'n
Platform commission	0%	0%
Processing	~2.9% + \$0.30	Standard processor fees only — no extra platform %

2.6 Hardware

	DoorDash (reference)	Crave'n
Equipment	Mandatory tablet program ~ \$6/week	No required Crave'n hardware — existing POS, tablet, phone, or web

2.7 Delivery radius

	DoorDash (reference)	Crave'n
Radius vs rate	Wider radius often tied to higher commission tier	Radius from driver supply, demand, optimization — not “pay higher commission to expand reach”

2.8 Marketing and promotions

	DoorDash (reference)	Crave'n
Promos	Can bundle with top commission tier	Optional tools; promos without a permanent rate above 15%

2.9 Driver economics vs merchant commission

Merchant commission ($\leq 15\%$ on the agreed base, e.g. food subtotal) is **separate** from the **delivery fee**:

Party	Delivery fee (default story)
Driver	70% of customer delivery fee + 100% of tip
Platform	Remainder of delivery fee (about 30% when 70% applies and the \$2.50 base floor does not override the fee share — see DRIVER_PAY_SYSTEM_REDESIGN.md for $\max(\text{base}, 70\% \text{ of fees}) + \text{tip}$)

Drivers get 0% of food subtotal.

2.10 Illustrative comparison (high competitor tier)

Order value **\$40** (commission base = **\$40** for illustration).

	DoorDash Premier 30% (reference)	Crave'n max 15%
Commission	\$12	\$6
Restaurant after commission	\$28	\$34
Per-order benefit		+\$6 to restaurant

1,000 orders: \$12,000 vs \$6,000 commission → merchant keeps **\$6,000** more on Crave'n in this example.

2.11 Positioning summary

- **DoorDash-style:** Pay more commission to **buy** rank and radius.
- **Crave'n: Capped** rates; success tied to **ratings, reliability, demand, volume, delivery performance** — not endless commission escalation.

Key advantages: **15% cap**, no forced **25–30%** tiers, **0%** pickup / first-party commission (processing only), **no** mandatory tablet rent, **optional** marketing, **clear** driver-vs-platform split on delivery fees.

3. Merchant onboarding and financial configuration

3.1 Verification and Connect

1. Restaurant profile — legal entity, address, EIN, tax posture (e.g. 1099-K when applicable).
2. **Stripe Connect** — hosted or embedded onboarding; **Stripe** runs KYB/KYC and bank verification; store **Connect account id**.
3. Payouts — **Stripe** payout schedule to verified bank.

3.2 Rates and fees (summary)

Item	Policy
Delivery marketplace commission	10%–15%, never above 15% on covered orders
Pickup / first-party web	0% platform commission; processing only
Service fee (if product charges)	Customer-facing; confirm live product (e.g. illustrative 10% on subtotal in examples)
Delivery fee	Priced to customer; split driver / platform per \$2.9
Overrides	Geographic or contract; must respect 15% cap unless separately approved in writing

4. Order lifecycle – merchant financial view

4.1 Flow

1. Customer pays **Stripe**.
2. Funds settle to platform (net **Stripe** fees).
3. Recognize **commission, service fee** (if any), **platform share of delivery fees**.
4. Restaurant **payable** = agreed base **minus commission** (± adjustments).
5. Pay restaurant via **Stripe Connect**.

4.2 Illustrative delivery order

- Food subtotal **\$30**; commission **15%**; service fee **10%** → **\$3**; delivery fee **\$4.49**.

- Driver: **70%** of **\$4.49** = **\$3.14** (above **\$2.50** floor) → platform delivery slice **\$1.35** (no tip in example).

Customer total: $\$30 + \$3 + \$4.49 = \37.49

Platform revenue (before Stripe fees, simplified): commission **\$4.50** + service **\$3.00** + delivery margin **\$1.35** = **\$8.85**

Restaurant net: $\$30 - \$4.50 = \$25.50$

Tips → **100%** driver; not platform revenue.

5. Settlement and payout mechanics

5.1 Stripe settlement

Charges, refunds, disputes, **Connect** transfers and payouts — all **Stripe**. Book processing cost as **platform expense**.

5.2 Restaurant batch payout

Payout = $\Sigma(\text{Eligible subtotals or agreed base})$
 - $\Sigma(\text{Commission at contracted rate, } \leq 15\% \text{ on covered orders})$
 - $\Sigma(\text{Debits}) + \Sigma(\text{Credits})$

5.3 Example day

Subtotal **\$1,200**, **15%** → **\$180** commission → **\$1,020** to restaurant via **Connect**; platform also keeps **service fees** and **delivery margin** for those orders.

6. Refunds, chargebacks, and adjustments

- **Refunds:** Issue in **Stripe**; reverse commission per policy; net restaurant on later payout if already paid.
- **Chargebacks:** **Stripe** dispute flow; restaurant food share per policy; dispute fees usually **platform** unless passed through by contract.
- **Manual adjustments:** Audited credits/debits with reason and operator.

7. Reporting for merchants and CFO

Restaurant: Gross sales, commission % ($\leq 15\%$), net payout, **Stripe** payout id/date, adjustments.

CFO: GMV, commission by band (10 / 12 / 15), liabilities, **Stripe** reconciliation, refunds/disputes, delivery margin vs driver ledger.

8. Reconciliation and controls

1. **Stripe** ledger vs internal (payments, refunds, disputes, Connect payouts).

2. Internal batches vs orders/commissions/adjustments.
3. **GL** mapping: restaurant payables, commission revenue, processing expense, cash.

Controls: Separation of duties, dual approval on large adjustments, full audit trail, periodic access review.

9. Summary

- **One file to use:** docs/MERCHANT_RESTAURANT_FINANCIAL_FLOW.md
 - **Strategy:** 15% cap, 10–15% bands, 0% pickup/first-party commission (processing only), no mandatory hardware fee, radius/promos not tied to >15% rates.
 - Stack: **Stripe + Connect**; driver economics in DRIVER_PAY_SYSTEM_REDESIGN.md.
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